UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION

Interconnection of Large Loads to the Interstate Transmission System	))))	**Docket No. RM26-4-000**

COMMENTS OF EXELON CORPORATION

Exelon Corporation and its affiliates[1] (collectively, "Exelon") appreciate the opportunity to comment on the Advance Notice of Proposed Rulemaking ("ANOPR")[2] issued by the Federal Energy Regulatory Commission ("Commission") in the above-captioned proceeding.

I. INTRODUCTION

As the Commission and the Department of Energy ("DOE") have observed, United States "electricity demand is expected to grow at an extraordinary pace, due, in large part, to the rapid growth of large loads."[3] Exelon agrees. Exelon is also aligned with the Commission and DOE on the need to drive needless delay out of the process of interconnecting new large loads. The imperative to connect these loads, and to develop the electric supply and delivery infrastructure necessary to serve them reliably, is vital to support broad-based economic growth, to reshore manufacturing capabilities, and, most importantly, to stay ahead in the advancement of frontier artificial intelligence ("AI") capabilities.

[1] Atlantic City Electric Company, Baltimore Gas and Electric Company, Commonwealth Edison Company (ComEd), Commonwealth Edison Company of Indiana, Inc., Delmarva Power and Light Company, PECO Energy Company (PECO), and Potomac Electric Power Company (together, "Exelon Utilities").

[2] *Interconnection of Large Loads to the Interstate Transmission System*, Notice Inviting Comments, Docket No. RM26-4-000 (October 27, 2025).

[3] ANOPR at 2.

Exelon recognizes the importance and urgency of addressing these needs. Exelon supports, and has supported, thoughtful reforms at both the state and federal levels to connect large loads quickly and reliably. And, the Exelon Utilities have been taking practical and proactive steps to facilitate the interconnection of large loads and manage their impacts. Our service territories have been epicenters of data center interconnection. For example, in ComEd's service territory, data center demand has grown at an annual rate of 27 percent through June 2025 and ComEd's most recent large load adjustment request to PJM included a future expected demand increase of 11 GW by 2040, 6 GW higher than ComEd's submission relative to the prior year. Though this level of large load requests exceeds what we have experienced in the past,[4] the Exelon Utilities are making significant progress. We have worked productively and collaboratively with our customers, and are implementing innovative new processes at the transmission, distribution, and retail levels to more rapidly and cost effectively interconnect customers. [5] At the same time, we are working to identify and mitigate cost impacts and potential reliability impacts on other customers.

Exelon's experiences and approaches in interconnecting large loads to date inform these comments. Large load interconnection frameworks must not only aim to expediently, fairly, and reliably interconnect new customers, these processes must also take care not to exacerbate affordability challenges facing the country. Additionally, while our grid infrastructure can evolve to affordably and reliably deliver power, the nation, and particularly deregulated energy

[4] Exelon has contributed to improvements in PJM's large load submission process, including feedback on updates to Manual 19, PJM's load forecasting manual, and PJM's 2025 implementation document. ComEd's submission to PJM contained additional detail supporting consistency and transparency in large load submissions across the transmission planning process and separate load forecast submissions.

[5] For instance, on June 23, 2025, ComEd filed with the Illinois Commerce Commission proposed changes to its retail tariffs—including both transmission security agreement requirements and expanded deposits—to address large new load customer projects.

markets and associated accountability gaps, are failing to ensure adequate supply is developed to match the pace of demand growth. Proactive steps and creative approaches at all levels are required to meet the needs of accelerating load growth without sacrificing other equally important national goals. Exelon looks forward to continuing to work with the Commission, our states, our customers, and other stakeholders to chart the path forward and meet the challenges of the moment.

II. COMMENTS

A. Any Reforms Advanced by the Commission Must Prioritize Customer Protections and Affordability

Significant new generation, transmission, and distribution infrastructure will be required to reliably interconnect new large loads. Recognizing the potential for undue cost shifts from large loads to other customers, and attendant costly and time-consuming litigation, the Commission must support frameworks that incorporate risk management and ensure fair cost recovery and risk allocation to support this new infrastructure. This includes implementing protections for existing customers from transmission-related cost shifts driven by speculative, non-viable, or commercially underperforming large load projects. Overstated demand expectations can, and likely will, trigger costly system upgrades or new facility construction to serve that anticipated demand. If expected demand never materializes, infrastructure and capacity costs can end up borne by other customers. Mechanisms to protect other customers, including existing customers, from such eventualities should be part of regulatory frameworks concerning large load interconnection. Recognizing that regulation of service to end-use retail customers, including large datacenters as well as residential customers, is primarily state-jurisdictional, Exelon has been working closely with our states to support the development of appropriate mechanisms.[6] We have also pursued appropriate contributory reforms at the federal level.

More specifically, we are innovating and taking action at the federal and state levels to protect both existing and new customers from the cost ramifications of speculative or inflated large load interconnection requests, or those that do not meet their load projections. Across the Exelon Utilities, we have established processes for large load customers to sign Transmission Security Agreements ("TSAs"). These agreements are designed to ensure that a contribution to the transmission revenue requirement is made by large load customers commensurate with their requested end-use retail demand. As TSAs themselves may be construed as affecting rates and practices for FERC jurisdictional transmission service, we have also begun efforts to file these TSAs with the Commission.[7] The TSA structure generally requires, among other things, that a new large load customer guarantee its annual payments for transmission service will align with the expected annual payments that would be made by a large-load customer for its first ten years of service—effectively, a take-or-pay arrangement for transmission revenue requirement contribution. If there is a revenue shortfall in any year (*i.e.*, the transmission revenue billed to the customer at its actual usage is less than what would be billed to such a customer based on

[6] These developments have occurred at the state level because load interconnection is a matter reserved for state regulation under the Federal Power Act ("FPA"). As it proceeds to evaluate these issues, the Commission should not assume that entities that connect at transmission system *voltage levels* are connecting directly to the transmission *system* and should ensure that the appropriate factual record supports any action here. End-use load is retail load and, typically, distribution equipment, including retail metering and disconnection and isolation devices, sits between the transmission system and the end use load regardless of the voltage of the interconnection. Of course, under the FPA, "the Commission . . . shall not have jurisdiction. . . over facilities used in local distribution." 16 U.S.C. § 824(b)(1). *Connecticut Light & Power Co. v. FPC*, 324 U.S. 515, 531 (1945) (reversing FERC for asserting jurisdiction over distribution facilities); *Detroit Edison Co. v. FERC*, 334 F. 3d 48, 54 (D.C. Cir. 2003) (same). Furthermore, the Commission should ensure that any transmission interconnection it seeks to regulate is in interstate, rather than intrastate, commerce. *Dayton Power & Light v. FERC*, 126 F.4th 1107, 1130 (6th Cir. 2025) (upholding state regulation in the context of intrastate transmission).

[7] *See e.g., PECO Energy Co.*, Transmission Security Agreement between PECO and Amazon, Docket No. ER25-3492-000 (filed Sept. 23, 2025).

the requested load), the difference will be recovered under the TSA and credited to the transmission revenue requirement borne by transmission customers in the applicable Exelon Utility's zone.[8]

As a whole, the design of the TSA is intended to weed out speculative customer behavior while protecting other customers in the event a large load project realizes less than its promised load.[9] The requirement to sign TSAs is buttressed by expanded deposit requirements for large customers at the retail level through state-jurisdictional service request processes. These deposits are designed, among other things, to be sufficiently large, and graduated, so as to discourage speculative behavior, but not chill interest in development of real and committed large load projects. Not only does this approach provide multifaceted protection from cost shifting, by quashing speculative behavior these combined approaches should also (1) limit the degree to which speculative behavior can negatively affect opportunities for other customers, and (2) enhance confidence in Exelon's overall load forecasts that are included in PJM's forecasts, leading to more accurate identification of infrastructure needs and driving towards market prices that better reflect fundamentals. Perhaps most importantly for the Commission's objective in this proceeding, eliminating speculative behavior allows planning resources to focus on viable large load projects and for those viable projects to move forward as expediently as possible.[10]

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[8] The TSA also requires collateral security for its TSA obligations in an amount calculated based on the submitted load ramp and the FERC-jurisdictional rate in force at the time of posting, taking into account the credit rating of the customer.

[9] Although not yet part of our forecast criteria, TSAs remain important elements of our forward-looking strategy.

[10] Of course, Exelon's innovations extend beyond the TSA structure. For example, the Exelon Utilities have shifted to studying large customers in "clusters" of applications through joint studies. The Exelon Utilities open periodic windows for requests for new large load customers across its territories. With the information provided by applicants in that window, the Exelon Utilities then study the transmission and distribution impacts of each cluster of requests. This process succeeds the Exelon Utilities' legacy approach of studying large customer requests on a serial basis, which we identified as being inefficient for the current load growth environment.

Exelon's approach to large load integration can be a model for any reforms advanced by the Commission, as well as other utilities making changes in state practices and proceedings.[11] Our view is that TSAs are a valuable tool to meet the moment while protecting customers and providing certainty around needed infrastructure development. As discussed below, TSAs provide more certainty in the near and longer term than alternative approaches, like directly assigning the costs of certain transmission upgrades to large load customers. The TSA approach not only recognizes that all load, including large load, benefits from investments in the transmission network, but it also provides valuable early certainty to large loads regarding their expected transmission costs, which may be critical as they are making complex and cost-sensitive development decisions.

B. Allocation of the Cost of Transmission Upgrades to Serve Large Customers Should Consider Practical Implications in the Near and Long Term

The ANOPR and the DOE's letter proposing it show a clear intent to ensure that the cost of infrastructure developed to serve large loads is distributed fairly among customers, existing and new.[12] This aim is most directly expressed in principle eight, which states that "load and hybrid facilities should be responsible for 100 [percent] of the network upgrades that they are assigned through the interconnection studies."[13] Exelon shares the view that a fair cost distribution among customers is of paramount importance. But, it does not follow that the only—or even the best—way to achieve this end is by charging new customers for new

[11] Significantly, Exelon's model for large load integration balances federal and state jurisdictions.

[12] Letter from Chris Wright, Secretary of Energy, to David Rosner, Chairman, Federal Energy Regulatory Commission et al., (Oct. 23, 2025) (stating "This Administration is committed to revitalizing domestic manufacturing/ and driving American AI innovation.' both of which will require unprecedented and extraordinary quantities of electricity and substantial investment in the Nation's interstate transmission system. We must do so efficiently, *fairly*, and expeditiously." (citations omitted) (emphasis added)).

[13] ANOPR at P 25.

facilities that may also serve others. Doing so opens the door to their avoiding any responsibility for the entire rest of the transmission system, considering the Commission's prohibition on "and" pricing. As the Commission is considering a proposed rule to support fair allocation of costs, it should consider unintended and long-term consequences of pricing approaches as they pertain to *all* transmission costs and not only of the costs of the subset of facilities added because of new large load customers.

Specifically, we are concerned that, while there is surface appeal to proposals to directly allocate 100 percent of transmission upgrades driven by new large load customers, such an approach may not achieve the goal of avoiding undue cost shifts and may put other customers at considerable risk. If new large loads are made to be responsible for the costs of upgrades as a requirement to interconnect, pursuant to the Commission's prohibition on "and" pricing and concerns over undue discrimination,[14] those same loads will undoubtedly maintain that they are *not* required to pay separately for transmission service (*i.e.*, for network integration transmission service, the "NITS" rate). On this basis, we make the following observations about the potential problems with the policy of allocating 100 percent of system upgrades to large load customers.

First, allocating transmission system upgrade costs up-front to large loads could run counter to the policy objective of promoting economic development by imposing too many near-term financial hurdles. While some large loads may have substantial access to capital, the DOE ANOPR paints a broad brush with the 20 MW applicability threshold.[15] Significant up-

[14] *Pennsylvania Elec. Co*., 60 FERC ¶ 61,034, 61,124 (1992).

[15] *See* Comments of the Indicated PJM Transmission Owners, Docket No. RM26-4-000, at 4–6 (filed Nov. 21, 2025) (citing multiple reasons why a 20 MW threshold is much too low given the ANOPR's particular focus on data centers, and would both undermine the expressed goals of the ANOPR and impose significant costs and other burdens on traditional industrial and commercial load customers); *see also* Comments of the Edison Electric Institute, Docket No. RM26-4-000, at 5–8 (filed Nov. 21, 2025).

front requirements could hinder economic development, particularly for many commercial and industrial customers that find themselves included in a new paradigm designed to support AI data center interconnections.

Second, such an approach creates challenging dynamics like those we have seen in the generator interconnection space. For example, this approach likely benefits earlier loads that identify favorable interconnection points, only for later large load customers to trigger significant upgrades, which once completed may again lower costs for future large load interconnection requests.[16] Furthermore, transmission system upgrade needs can be very sensitive to other large loads modifying their requests or withdrawing, as well as overlapping issues with other aspects of transmission planning. Not only do these dynamics threaten to create inequities, they create the kinds of incentives for speculative behavior and point of interconnection (POI) "shopping", with associated unpredictable requests and withdrawals. This is precisely the kind of behavior that became so problematic, resource-intensive, and delay-inducing in the generator interconnection queue.

Third, in some, if not most, cases, it will be a benefit to other customers to *include* large loads in the pool of payers for the broader transmission network rather than setting them apart and assigning them only the incremental cost for specific upgrades. By spreading the revenue

[16] As the ANOPR suggests, some may view a crediting mechanism as one way of reconciling this issue. ANOPR at P 25. Such a crediting mechanism, were it to mirror the construct in Order No. 2003, requires the interconnecting customer to fund the network upgrades up front. Over time, the upgrades would be credited back to the load interconnection customer and return on and of those assets is recovered from end-use customers through transmission charges. While this crediting approach could address the narrow concern of cost responsibility *among* large load customers, this framework does not make much sense when translated to (large load) end-use customers generally. While it would considerably complicate the process, with a crediting mechanism large load customers would eventually be responsible for transmission charges like all other customers, charges that would include cost recovery for all of the network upgrades. Ultimately, the result would be a Rube Goldberg machine to end up with all customers paying for all transmission. Though this is the right result, all of the interim steps would be administratively burdensome and could lead misimpressions of who is paying for what and a troubling lack of transparency.

requirement for the transmission system generally over an increasing number of billing units—a.k.a. "increasing the denominator"—it reduces what other customers pay for transmission.[17] The undeniable fact is that large loads—not only because of their size, but also their high load factors— contribute *significantly* to the overall transmission (and distribution) revenue requirement now, and new large loads would do the same. Those new contributions, in turn, could help address overall concerns about affordability as the national energy grid transforms. But, if they are only required to pay for incremental investment, they avoid paying for the broader system and that benefit is lost. The more large loads are carved out to pay separately for certain transmission infrastructure, the less they will pay for the overall grid and the more other customers will pay.[18]

While cost shift outcomes can play out in more than one way in the near term, over the long term the calculus of requiring large loads to fund certain upgrades, but not pay otherwise for their use of the system, can play out in just one way: it is worse for other customers while it significantly and unduly benefits large load customers. Once a large load has fulfilled its responsibility (whether immediately or over time) for funding certain upgrades, prohibitions on

[17] Notably, the same unintended affordability consequence holds true should any Commission policy resulting from this docket were to relieve large loads from contributing to distribution revenue requirements. The increasing-the-denominator issue exists for both the transmission and distribution portion of rates where there are unbundled rates. One interpretation of the ANOPR that could be considerably problematic is if large load customers are given the opportunity to bypass entirely any contribution to distribution rates. In this situation, not only do they not contribute the recovery of distribution costs, but they leave other customers on the hook for everything that they do not contribute to.

[18] This dynamic—the causation of costly upgrades vs. the contribution to the transmission revenue requirement—can play out in more than one way in the near term depending on the magnitude of transmission upgrades required. In the case that very large system upgrades are necessary, the net effect of increasing the associated revenue requirement may not be offset fully by the increase in billing units from the new large load paying its share through the NITS rate. Conversely, in the case that a new large load is able to interconnect without triggering the need for significant upgrades, such loads would clearly drive down costs for other customers by increasing the denominator while increasing the numerator (*i.e.*, the transmission revenue requirement) by a relatively smaller amount. Especially in this case, policies should not be structured to inadvertently allow such large load customers that do not trigger large upgrades to avoid paying in a manner that reflects their use of and reliance on the broader network.

"and" pricing would draw one to the conclusion that they would, immediately or eventually, not be responsible for any further payments for transmission service.[19] The transmission system is not a one-and-done investment. The system evolves, it requires maintenance to ensure reliability, resilience, and quality of service, all of which comes at a cost. Allowing a model where initial investment absolves large loads from financial contributions associated with the on-going use of the system leaves other customers holding the bag and creates obvious and problematic inequities.

It also bears emphasis that large loads will *not* always trigger significant transmission upgrades. In some cases, the upgrades will be minor and the harmful impact of their future exemption from transmission costs on other customers will not be offset at all. In short, it should not be assumed that large loads will trigger system upgrades with costs in excess of what they would otherwise contribute to the system, and a large load interconnection rule should not be designed around such a false premise.

Exelon believes that to effectively and quickly achieve the aims of the ANOPR, the Commission can and should respect established principles of how transmission service works and is priced, protect other customers from harmful financial and reliability impacts, and avoid jurisdictional conflict. Network integrated transmission infrastructure is beneficial to all load served by the grid, and all should share in its costs. Creating exceptions to that long-standing rule risks unforeseeable and possibly anomalous cost ramifications. In particular, requiring that the costs of new investments required to serve new load, but that also bolster the transmission

[19] "When a Transmission Provider must construct Network Upgrades to provide new or expanded transmission service, the Commission generally allows the Transmission Provider to charge the higher of the embedded costs of the Transmission System with expansion costs rolled in, or incremental expansion costs, but not the sum of the two. Hence, 'and' pricing is not permitted." *Standardization of Generator Interconnection Agreements and Procedures*, Order No. 2003, 68 FR 49845 (Aug. 19, 2003), FERC Stats. & Regs. ¶ 31,146, P 694 n111 (2003).

system itself, be funded only by new load will inevitably lead to a claim that new load should make no other contributions to the costs of the transmission system. While particular cases will inevitably be a mixed bag, allowing new load to effectively buy out of future transmission cost responsibility puts other customers at risk, the opposite result from what the ANOPR intends. This cost reallocation—which attempts to separate out pieces of the system for separate cost recovery treatment—also risks litigation, remands, and opposition from other policy makers that can cause years of delay in finalizing projects, again the exact opposite of the worthy intent of the ANOPR. Exelon does not believe that established principles of rolled-in cost allocation need to be challenged to achieve the aims of the ANOPR and, indeed, an approach that avoids doing so will be both most effective and most expeditious.

To conclude, the Commission should be conscious of the implications of adopting a participant funding model for large load interconnections and mindful of the long-term consequences for other customers. If there are concerns about managing risk and ensuring that large load customers have "skin in the game" that limits risk of cost shifting in the case that customers fail to materialize, frameworks like TSAs are an appropriate solution. Furthermore, should it undertake further action in this docket, the Commission needs to be clear about any cost assignment proposals, what types of facilities are implicated, how cost recovery will work to ensure utilities are able to earn a return of and on its investments, what other cost responsibilities are implicated, and how other customers will not be unduly burdened as a result.

C. Any Reforms Should Not Lose Sight of the Importance of System-Wide Supply Adequacy

While the Commission and DOE have rightly identified large load interconnection as an area deserving of attention, growth in new supply must keep pace with demand. Generation capacity is not being developed fast enough to replace retiring resources and meet these expanded demands on the system. The result is that customers, like those the Exelon Utilities serve in PJM, are facing high electricity prices as power markets become tighter—seeing significant increases in both capacity and energy costs. Customers are frustrated by these price increases, and Exelon is deeply concerned about the affordability impacts to the communities we serve. Unfortunately, the issue may not be limited to cost increases. We are starting to see signs that inadequate investment in generating capability will affect reliability,[20] with growing risk of shortfalls that, if trends persist, could eventually lead to blackouts.

While trends may suggest that new generation builds are increasing, including in PJM, they are incremental compared to the need, and we are concerned that there will be inadequate relief to market tightness. Some contributing factors to this gap include the incremental or non-permanent nature of certain reforms to PJM rules (*e.g.*, the Reliability Resource Initiative, or "RRI"), the significant quantity of projects that have progressed through the interconnection queue but have been stymied by other development hurdles (*e.g.*, permitting, financing, and supply chain challenges), and the lack of announcements by large generation developers of their intent to develop the tens of gigawatts of generation needed to meet expected demand growth. These factors and others have left PJM in particular, but other regions as well, facing the likelihood of a supply shortage, with limited tools to address it.

While the resource adequacy challenge is not unique to PJM, structural issues in PJM pose distinct challenges. In other parts of the country, where there are directionally similar generation capacity challenges, affirmative state action has better positioned utilities to support

[20] Referring, among other things, to the increased frequency PJM Maximum Generation Emergency/Load Management Alert events. *See* PJM Interconnection L.L.C., *Emergency Procedures – Postings*, https://emergencyprocedures.pjm.com/ep/pages/dashboard.jsf (last visited September 12, 2025).

growth in the generation fleet to address affordability and reliability concerns. Similar movement has not yet been forthcoming in PJM, where the unbundled parts of the region (like those where the Exelon Utilities provide service) have extensively deferred to market forces and merchant response for new generation development. This has left an accountability gap related to supply adequacy, and the problematic possibility that, if the "invisible hand of the market" fails to deliver, the result may be not only diminished reliability, but also concurrent and persistent higher supply prices.

Exelon's view is that state policymakers should reassert accountability to ensure reliability can be maintained where the market is at risk of failing to deliver. This would entail allowing utilities to propose, and states to authorize, additional generation build and contracting needed to ensure the reliability of the system and help hedge against future cost increases for customers.[21] While electricity markets have delivered considerable benefits to customers since their inception, implementing complimentary measures to backstop the market would affirmatively recognize the nature of electric service as not just a mere commodity in the marketplace, but also as a necessity of modern life.[22]

Although much of the above falls within state jurisdiction, there remain important areas where the Commission can continue to play a supportive role in fostering timely supply development. The Commission should advance jurisdictional process reforms that enable generation resources to interconnect with the system more quickly and efficiently.[23] This is

[21] There also may be some near-term solutions available, like the deployment of additional demand response and energy efficiency measures or leveraging backup generation capabilities of certain customers.

[22] Though other commodity markets can be allowed to experience considerable volatility, high prices, and even shortages, we are seeing in real time that the same extreme outcomes cannot, and will not, be abided in electricity markets. The risks to customers are too great and the stakes are too high.

[23] For example, Exelon supports PJM's revised proposal to update its capacity interconnection rights transfer process filed on October 31, 2025 in Docket No. ER26-403.

especially critical for resources with specific reliability attributes that can be deployed rapidly, and where there are opportunities to leverage existing transmission capacity. Reforms should consider expedited interconnection treatment for state-prioritized generation, which would both recognize the centrality of the state role in generation development and the fact that, because of the state role, such generation is most likely to be able to advance with speed and certainty.

Exelon also supports generator interconnection reforms that recognize the value in "bring your own generation" ("BYOG") approaches, in which generation dedicated to serve specific large load customers comes online with financial support and commitments from those customers. Such resources may share a point of interconnection or be in close (electrical) proximity to one another—akin to the hybrid structure referred to the in the ANOPR—and may warrant accelerated treatment to connect to the grid. However, rule changes to facilitate BYOG need to be tailored carefully to ensure that other customers are not unfairly impacted nor that associated transmission (or distribution) costs are ignored. As a diverse set of transmission owners have expressed in related proceedings, for both technical and cost responsibility purposes, treatments of hybrid configurations need to recognize that associated generators *and* loads fully use and benefit from the transmission system.[24] Neglecting this reality would have detrimental rate and reliability effects. In the rate context, allowing loads in hybrid configurations to avoid paying for their full use of the network would lead to considerable cost shifts to existing customers, an unjust outcome that will exacerbate affordability concerns. In the reliability context, not accurately reflecting the use of the system by hybrid load and generation facilities will lead to a system that is planned and operationally managed in a manner

[24] *See* Answer of the Indicated PJM Transmission Owners to the Order Instituting the Proceeding Under Section 206 of the Federal Power Act and Consolidating with Other Proceedings, Docket Nos. EL25-49-000, *et al*., at 5, 12–14, & Attachment A, Response b.i. (filed Mar. 24, 2025).

that is less reliable. Neither are acceptable outcomes. It is important to note, however, that while appropriate treatment of hybrid resources advances both affordability and reliability, our recommended approach does nothing to detriment the speed at which hybrid resources can interconnect to the system, all while ensuring that the service they receive once they interconnect is more reliable and resilient.

D. The Commission Should Resist Seeing Order No. 2003 as a Supportive Analog for How to Advance Large Load Interconnection

In the ANOPR, the Commission appears headed down the path of using the approach of Order No. 2003[25] as a guide, perhaps on the basis that standardized procedures for new large load interconnection should be analogous to how procedures were standardized for interconnection of new large generators. While we recognize that, should the Commission take further action in this docket, its approach may evolve, current parallels between Order No. 2003 and the ANOPR include consideration of standardized procedures and agreements, consideration of studies to ensure reliability, establishment of a cost responsibility paradigm with participant funding, and applicability thresholds at 20 MW. These parallels and the apparent reliance on Order No. 2003 may be problematic.

First, interconnection of load is not analogous to interconnection of generation, and Order No. 2003 pertained to the interconnection of generation. Load and generation can be distinguished in several ways. Generators do not take transmission service, while load customers do. Generator interconnection raises concerns about undue discrimination between competitors (including transmission owners that own generation) seeking access to the

[25] *Standardization of Generator Interconnection Agreements and Procedures*, Order No. 2003, 104 FERC ¶ 61,103 (2003), *order on reh'g*, Order No. 2003-A, 106 FERC ¶ 61,220, order on reh'g, Order No. 2003-B, 109 FERC ¶ 61,287 (2004), *order on reh'g*, Order No. 2003-C, 111 FERC ¶ 61,401 (2005), *aff'd sub nom. Nat'l Ass'n of Regul. Util. Comm'rs v. FERC*, 475 F.3d 1277 (D.C. Cir. 2007).

market—an issue Order No. 2003 sought to remedy—while there is no such competitive concern on the load side. Generators are interconnecting for the purpose of transmitting electricity across the network to make wholesale sales, while loads are receiving retail delivery and electric service pursuant to state regulation. Generators ultimately seek to recover all their costs plus a return on investment, inclusive of network upgrades, while loads ultimately pay for the products produced by generators and the network to deliver them. While there *may* be reasons to apply similar principles and processes, the basis for doing so has not been established.

Second, all agree that speed is of the essence in making progress towards the integration of large loads. Designing processes to achieve interconnections is complex, time intensive, and difficult to get right. History has taught us that layering a Commission-driven rulemaking approach on top of existing, evolving processes is unlikely to be the most expedient path forward. Order No. 2003, as the Commission is aware, took more than five years to progress from the initial ANOPR (October 2001) to the end of the appeal process (January 2007). Even on an accelerated timeline, Commission action here could extend compliance well into the next presidential administration, and the jurisdictional issues are likely to be vigorously litigated as well. Relatedly, it is notable that Order No. 2003 did not succeed at its goal to "expedite the development of new generation." The resulting interconnection queue processes that stemmed from Order No. 2003 have been revealed to be inadequate, a recognition that led to Order No. 845 and more recently to Order No. 2023, which is still in the early phases of implementation. In sum, it has been 24 years since the Commission commenced the proposed rulemaking that led to Order No. 2003 and we are still working to resolve the shortcomings of that rule.

Third, Order No. 2003 was hardly a guide to success. Although transmission owners had been operating under the open access transmission tariff established by Order No. 888, the Commission moved forward with Order No. 2003 based, in part, on the finding that "requests for interconnection frequently result in complex, time consuming technical disputes about interconnection feasibility, cost, and cost responsibility," resulting in "delay [that] undermines the ability of generators to compete in the market and provides an unfair advantage to utilities that own both transmission and generation facilities."[26] The Commission determined to establish "a single set of procedures … and a single, uniformly applicable interconnection agreement for Large Generators" as a means of remedying that situation.[27] Yet, time consuming technical disputes, often focused on cost and cost responsibility, persist to this day.[28]

[26] Order No. 2003, FERC Stats. & Regs. ¶ 31,146 at P 11.

[27] *Id*.

[28] *See e.g., RWE Clean Energy LLC v. PJM Interconnection, L.L.C.*, Complaint Requesting Shortened Comment Period and Fast Track Processing of RWE Clean Energy, LLC, Docket No. EL26-7-000 (filed Oct. 27, 2025) (alleging an improper allocation of approximately $71.6 million in Network Upgrades to the generation project); *PJM Interconnection, L.L.C.*, Motion to Intervene and Protest of Illinois Generation LLC, Docket No. ER23-1439-000 (filed Apr. 12, 2023) (asserting that certain network upgrades were not needed "but for" the generation interconnection project); *Payton Solar, LLC v. PJM Interconnection, L.L.C., et al.*, Complaint and Request for Fast Track Processing of Payton Solar, LLC, Docket No. EL23-72-000 (filed May 18, 2023) (arguing that studying a disputed point of interconnection resulted in an unjust increase of interconnection costs by several million dollars); *PJM Interconnection, L.L.C.*, Protest of SunEnergy 1, LLC, Docket No. ER22-2931-000 (filed Oct. 17, 2022) (disputing interconnection cost increases from approximately $4.5 million to $13.2 million between interconnection study phases).

III. CONCLUSION

Exelon supports a path forward on large load interconnection that leads to an electric grid that can support economic development and national competitiveness on the road towards AI dominance. This can be achieved through leveraging approaches that emphasize flexibility and low-regrets pathways while never losing sight of the importance of reliability and affordability. Exelon respectfully submits these comments for consideration by the Commission as it carefully weighs its various policy goals and considers how alternative approaches to advancing this docket could impact the likelihood of achieving those goals.

Respectfully submitted,

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